

stance, is planning to expand first in and around the NCR region. "That itself can absorb 10-15 more restaurants. Later we will look at Amritsar, Ludhiana and Chandigarh, areas we are familiar with," says A.K. Tyagi, president of its FMCG business.

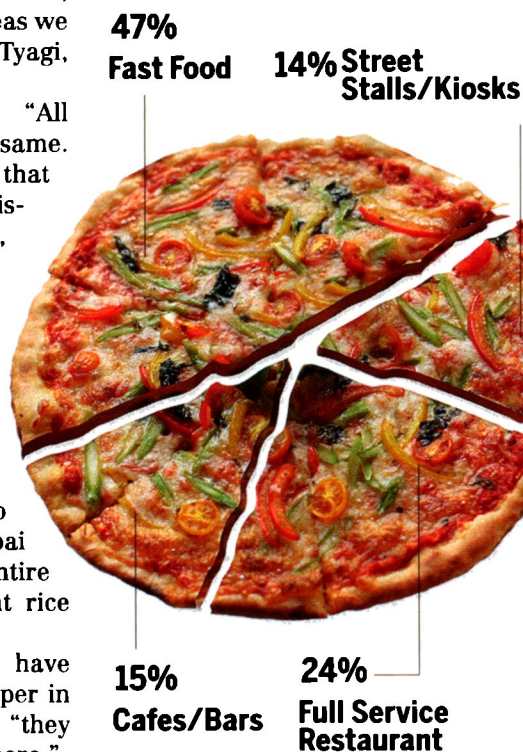
Going national isn't easy. "All McDonald's burgers taste the same. How many restaurants can do that with a thali?" says Gupta. The issue is one of "huge logistics", says Maiya, who has just hired a food technologist. For instance, making dosa batter and preserving it is a huge challenge. Moreover, raw materials are usually procured from one source, over generations. MTR procures its rice from a particular shop. To change that for Delhi or Mumbai would mean changing the entire methodology, as the different rice would taste different.

"Many of my customers have breakfast in Chennai and supper in Singapore," says Manoharan, "they expect the same taste everywhere."

While MNCs have professionalised their back-end through centralised commissaries, where food is merely assembled, Sandeep Kohli, founder of NCR-based Orange Hara chain of restaurants, says that the back-end of many restaurants is primitive, almost like a "big halwai shop". Instead, the food business should be technology- and process-driven. Even family-run chains are now waking up to 'heat and eat'.

But all that belongs to the first phase of establishing the brand and looking at growth. Today, most food brands have moved into phase II, which is penetration. Phase III is marked by the saturation point, where companies may need to overhaul menus, at least partially, and innovate. Much of the second phase growth will come from tier II and III cities where eating out is still an occasion. Says Vikram Bakshi, MD, McDonald's India and franchisee for the North and East regions, "We don't plan to tweak our menu too much. Now we will grow to new areas and

Breaking Bread Market share of food outlets



Source: Technopak Advisors

Graphic by PRASHANT CHAUDHARY/www.indiatodayimages.com

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A.K. TYAGI, President,
Haldiram's FMCG Business



increase our concentration in areas where we are less spread." The response from tier II and III cities is overwhelming. Last year the company opened an outlet in Amritsar. Consultants said it was a city which loved Punjabi food, so the company opted for a smaller, 100-cover set-up. Six months later, Bakshi feels a second restaurant is needed.

The other thing is catching 'em young. Fast food chains are targeting consumers early so that they stay for 15-20 years. Ask Panipat's Nidhi and Uday Nath. Earlier they would eat out at the local sit-down restaurants over weekends, the few entertainment options available in the city. Today their choice of dining is largely driven by their five-year-old daughter Tara. So the couple ends up giving in to what has become a near-standard experience among parents world over: McDonald's. "The children like it, so we end up coming here at least once a week," says Nidhi. "This is a generation that has grown up on McDonald's," says Purnendu Kumar, associate vice president, Technopak Advisors. But that too reflects the lifestyle changes that have taken place over the last decade.

That may not always translate into numbers for the companies. For instance, three years have passed since the opening of the first McDonald's outlet at Panipat, which was something of a mini cultural spectacle where families lined up to have their pictures taken with Ronald McDonald, but the outlet itself is a laggard in terms of sales.

Bakshi has an explanation for that. Indians eat out far less frequently than other nationals. "Even in urban homes, eating out is seen as an occasion or an indulgence," he says. Compared to this, countries in South Asia have always had the concept of eating out, either at restaurants or pavement stalls. In Bangkok, people eat out an average 44 times a month, while in Jakarta the frequency is 14-15 times. However, with that changing, companies are more